



Predictive Markets and the Future of Information, Finance, and Society

Rutgers Consulting Group
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Table of Contents

1. Executive Summary	3
2. Methodology	4
3. Introduction to Predictive Markets	5
3.1 What Are Predictive Markets?	5
3.2 Why Now?	6
3.3 Case Study	6
3.4 Core Thesis Angles	7
4. Current Landscape	8
4.1 Platform Models.....	9
4.2 Drivers of Growth.....	11
4.3 Constraints and Challenges	13
5. Economic Implications	14
5.1 Markets as Forecasting Mechanisms.....	14
5.2 Impact on Decision-Making	16
5.2.1 Decision-Making on the Corporate Level.....	16
5.2.2 Decision-Making within the Public Sector.....	18
5.3 Market Efficiency Considerations	19
6. Financial & Investing Implications.....	21
6.1 Predictive Markets as an Emerging Asset Class.....	21
6.2 Retail Investor Behavior.....	23
6.3 Institutional Interest	23
6.4 Risks to Participants.....	25
7. Regulatory & Legal Lens	26
7.1 Regulatory Frameworks.....	26
7.2 Core Tensions	27
7.3 Scenario Analysis	30
8. Social & Cultural Implications.....	32
8.1 Perception Shifts.....	32
8.2 Behavioral Effects.....	34
8.3 Media & Narrative Influence.....	36
9. Technology Integration and Future Outlook of Predictive Markets	37
9.1 AI vs Crowd Intelligence	37
9.2 Hybrid Models	38
9.3 Future Innovations	38
10. Conclusion	39
11. About the Authors	Error! Bookmark not defined.



1. Executive Summary



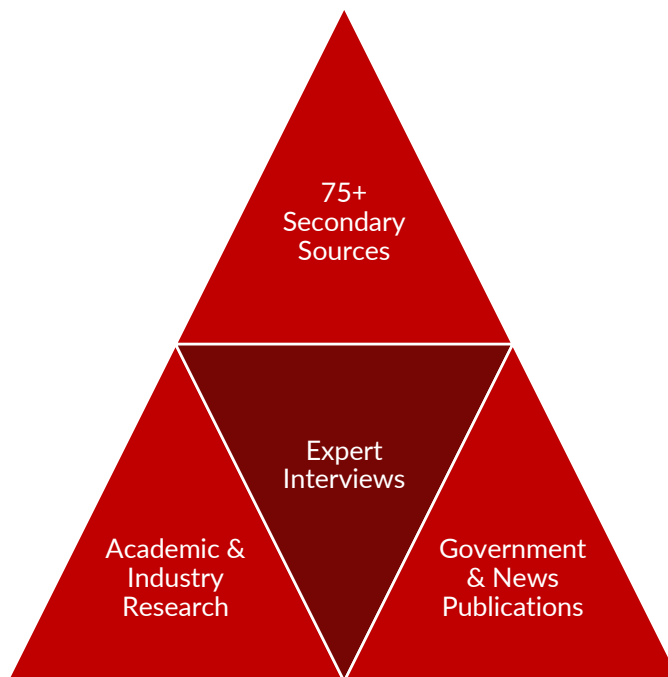


2. Methodology

To understand the unique role, relevance, and complexity associated with predictive markets, the RCG team conducted extensive secondary research, reviewing a variety of academic, industry, and news sources. In total, the team analyzed over **75 secondary sources** including academic research, industry white papers, news articles, and government publications. The information collected through this secondary research helped the team establish a comprehensive understanding of the **current predictive market landscape**, analyze the **quantitative mechanisms** behind these markets, and identify **sociocultural implications** as well as points of **regulatory gridlock** which hinder their growth.

In addition to the secondary research, team members conducted interviews with **4 experts** from both academic and industry backgrounds, including an **Associate Professor of Economics at George Mason University**, a **Visiting Fellow at the James Silberrad Brown Center for Artificial Intelligence at San Diego State University**, a **Professor of Statistics at Rutgers University**, and a **Founder at a National Security Advisory Firm and Research Fellow at Rutgers University**. These interviews provided insights into the various **types of participants** and their **motivations** within predictive markets, as well as the various **security, ethical, and technological implications** when certain categories of events are traded.

This integration of primary and secondary research allowed the team to construct a **comprehensive overview** of the current landscape of predictive markets, as well as its wide array of impacts spanning financial regulation, economic and intelligence implications, and sociocultural shifts in how people view and understand information.



3. Introduction to Predictive Markets

3.1 What Are Predictive Markets?

A prediction market is one in which participants trade contracts, and whose payout is determined by the outcome of a future event. These markets utilize the collective intelligence of a large group of participants to predict specific future events or quantities. By pooling insights from many people, these markets generate forecasts that can adjust quickly as new information becomes available. This ability to continuously update makes them an effective and scalable tool for real-time prediction, especially as they have become more accessible through modern digital platforms.

The first modern prediction market began in 1988 as a research project at the University of Iowa and featured forecasts on that year's presidential election. As internet access expanded, these markets grew beyond academic settings and became available to a broader public audience. Over time, they have gained recognition for their ability to produce accurate forecasts across a wide range of areas, including sports, business trends, political events, global affairs, and financial outcomes.¹

A Prediction market can be defined where securities derive value from event outcomes. The following example shows the idea:

A contract pays \$1 if Candidate A wins the election and \$0 if another candidate wins.

If the contract is currently trading at 45 cents, the market reflects a 45% chance that Candidate A will win. This probability is representative of the collective intelligence of participants, weighted by their confidence and the capital they are willing to risk.

Unlike a standard sports bet where you are locked in until the event ends, these contracts can be traded at any time. If you buy in at 45 cents and the price climbs to 60 cents due to new polling, you can sell immediately to lock in a 15-cent gain. This ability to trade in and out makes prediction markets more like financial markets than traditional betting.²



Figure 1: The Lifecycle of a Prediction Market Contract from Event Definition to Price Aggregation

¹ [Greenwich](#)

² [Poole](#)



3.2 Why Now?

The surge in prediction markets is primarily driven by widespread technological integration and shifting cultural attitude towards risk. The digitization of finance has moved trading from Wallstreet to smartphone apps. This normalization of retail trading, often called the “Robinhood era”, has transformed personal finance from a highly skilled profession to an accessible system where individual traders can make predictions on a wide array of outcomes.³

Additionally heightened political and macro uncertainty has created demand for clearer answers than traditional polling or expert commentary. In these markets, there is a weighted financial incentive to report correct outcomes and a penalty for being wrong. This creates what researchers call a “truthful revelation” mechanism, a continuous algorithm that filters out partisan bias and wishful thinking more effectively than static surveys.⁴ In an era of increasing economic and political volatility, prediction markets offer real time signals that people find valuable. This has led to the rise of these platforms with monthly trading volume in prediction markets surging from under \$100 million in early 2024 to over \$13 billion by the end of 2025.⁵

3.3 Case Study

The 2024 U.S. Presidential Election served as the viral breakout for prediction markets, bringing them from a niche interest into a mainstream financial signal. This cycle demonstrated that when participants back their opinions with money, a faster and more accurate “truth” comes to light.

While traditional polls were often delayed by days of processing, prediction markets reacted to campaign “shocks” in real time. For instance, following the June 2024 presidential debate, the market-implied probability for a Democratic victory plummeted within 30 minutes. It took traditional polling aggregators nearly two weeks to reflect the same shift in public sentiment.⁶

This election cycle acted as a primary driver for massive adoption. Kalshi saw its total trading volume surge by over 3,000% between 2024 and 2025, with Polymarket seeing a similar explosion in activity. This surge in popularity forced a perception shift, moving these platforms from “betting sites” to necessary information infrastructure cited by major news outlets and financial institutions. The 2024 cycle proved that markets could handle massive scales and serve as a “de-risking” tool for firms; by the time the results were concluded, the markets had already priced in the outcome.⁷

³ [Greenwich](#)

⁴ [Hypermind](#)

⁵ [Keyrock](#)

⁶ [Arxiv](#)

⁷ [Milwaukee Independent](#)

3.4 Core Thesis Angles

Beyond simple forecasts, prediction markets function as complex information aggregators. By consolidating a wide array of public opinions into a single price point, they can reach conclusions traditional forecasting couldn't. These platforms are also evolving into legitimate financial tools used for complex risk management, allowing both retail and institutional participants to hedge against specific regulatory shifts or economic downturns.⁸

However, the path towards integration into the financial system comes with significant structural challenges. The primary constraint is a complex and conflicting regulatory landscape. In the United States, regulators scrutinize "event contracts," debating whether they can be defined as legitimate tradable assets or as a modern type of gambling. This legal ambiguity holds back institutions from committing significant liquidity because they require clear frameworks and regulations. Additionally, many specialized markets suffer from "thin" depth, where a lack of consistent trading volume can lead to extreme price slippage. In these scenarios, a single large trade can distort the probabilistic signal, making it difficult for participants to exit positions at a fair price.

The emergence of these platforms also introduces severe national security and ethical concerns. According to industry analyst Alex Goldenberg, the "financialization of everything" raises significant concerns where adversaries can exploit low-liquidity markets to create narratives or manipulate traditional asset prices. Goldenberg notes that when troop movements or geopolitical conflicts are traded as event contracts, it creates a "competing financial incentive" for decision makers. Additionally, the risk of "narrative laundering" where a foreign actor uses a large volume of trades to move a market and create a viral false perception of "reality" suggests that these platforms can be manipulated to create action rather than just predict it.



Figure 1: Goldenberg's Perspective on Narrative Manipulation in Low-Liquidity Markets

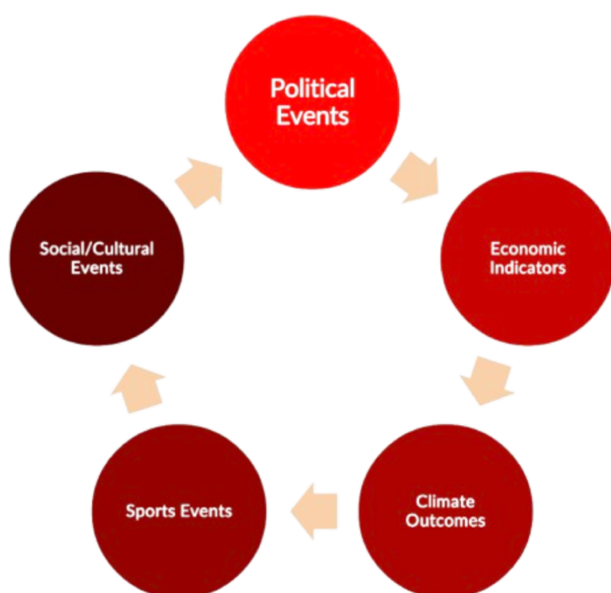
There is also lingering social and ethical tension regarding the "gamification" of sensitive real-world events. While supporters argue that putting a price on information creates a public good by revealing the truth, critics maintain that the incentives created when

⁸ Poole

individuals profit from geopolitical instability or mass casualty events create great ethical concerns. These debates, combined with technical challenges like market manipulation, industry integration and behavioral biases, define the current state of prediction markets. The resolution of these points primarily through regulatory oversight and advanced adoption on an institutional scale will lead turning the accuracy of information into a foundational, tradable asset for the digital age.

4. Current Landscape

Currently, trading alongside the 2026 FIFA World Cup winner is the Democratic Presidential Nominee, right next to the new Drake album's release date and Elon Musk's X account. In essence, prediction markets are gradually becoming mainstream tools for gauging real-world events, as the range of outcomes has significantly widened.⁹



Political Events: How many times will “America” be said in the 2026 State of the Union address?

Trade contracts are tied to political outcomes. The most common of these are elections, where market participants will trade based on their expectations of who will win. Other political-related events include binary outcomes based on which policies are enacted. There are even contracts where participants predict what buzzwords will be spoken in major political speeches, such as the State of the Union.¹⁰

Figure 2: Categories of Events Traded in Prediction Markets

Economic Indicators: What will the price of oil be this month?

Changes in the economy, regardless of size or impact, are actively tracked by prediction markets. Commonly traded contracts include Fed decisions on interest rates, gas prices, company rankings by market cap, and even the net worth of specific individuals such as Elon Musk.¹¹

Climate Outcomes: What will the highest temperature be in New York City today?

⁹ [KPMG](#)

¹⁰ [Kalshi](#)

¹¹ [Polymarket](#)



The most common climate events tracked by prediction markets include high and low temperatures in major cities. With tools such as online weather forecasts publicly available, participants in climate exchanges typically have more defined resources, allowing them to make more well-informed on outcomes.¹²

Sports Events: Who will win the NBA's Most Valuable Player award?

Sports currently have some of the most versatile trading options available to market participants.¹³ In addition to predicting which teams will win or which athletes will reach specific scoring thresholds, traders can also predict total points scored in a match, as well as the point margin between the winning and losing teams. These outcomes can also be bundled up into a single wager called a parlay, where all outcomes must win for the parlay to hit.

Social and Cultural Events: How many times will Elon Musk post on X this week?

These outcomes span the widest range of events, from the winner of TV shows, to potential features on music artists' albums, to the Rotten Tomatoes score of movies that are yet to be released.

4.1 Platform Models

Prediction markets are currently forming three categories of structural models, which differ by regulation authority and degree of centralization within the exchange.

Regulated exchanges comprise platforms which operate in tandem with key regulatory bodies, and therefore must carefully navigate platform offerings to not overstep regulatory boundaries, but this also comes with the added benefit of greater appeal to mainstream users because of its regulatory authority. One of the most prominent examples of regulated exchanges is Kalshi, a platform that received approval from the Commodity Futures Trading Commission (CFTC) to operate as a regulated exchange. This means that they would be required to meet the same core requirements applied to derivatives markets, such as financial safeguarding and consumer protection, which allowed for a "legitimate asset class" status.¹⁴ More broadly, under full regulatory compliance, regulated exchanges lower the barrier when it comes to institutional participation and integration into existing financial infrastructure. This is the case as the industry gradually moves towards the integration of prediction markets into retail brokerage interfaces such as Robinhood, which transforms these tools into widely accessible liquid environments. However, jurisdictional tension remains as to which regulatory bodies retain higher authority over these platforms, whether federal oversight supersedes state gambling laws. *Nevada vs. Kalshi* is an example of aggressive state-level enforcement, where the Nevada Gaming Control Board sent a cease-and-desist order to

¹² [Kalshi](#)

¹³ [DraftKings](#)

¹⁴ [Wealth Solutions Report](#)

Kalshi, arguing that the platform attempted to circumvent Nevada’s right to regulate gaming activity within the state.¹⁵

On the other hand, offshore or unregulated prediction markets often bypass the federal regulations that govern derivatives markets and regulated exchanges. Especially under the current legal ambiguity regarding prediction markets’ legal asset class status, this allows unregulated markets greater accessibility to an international audience in areas where

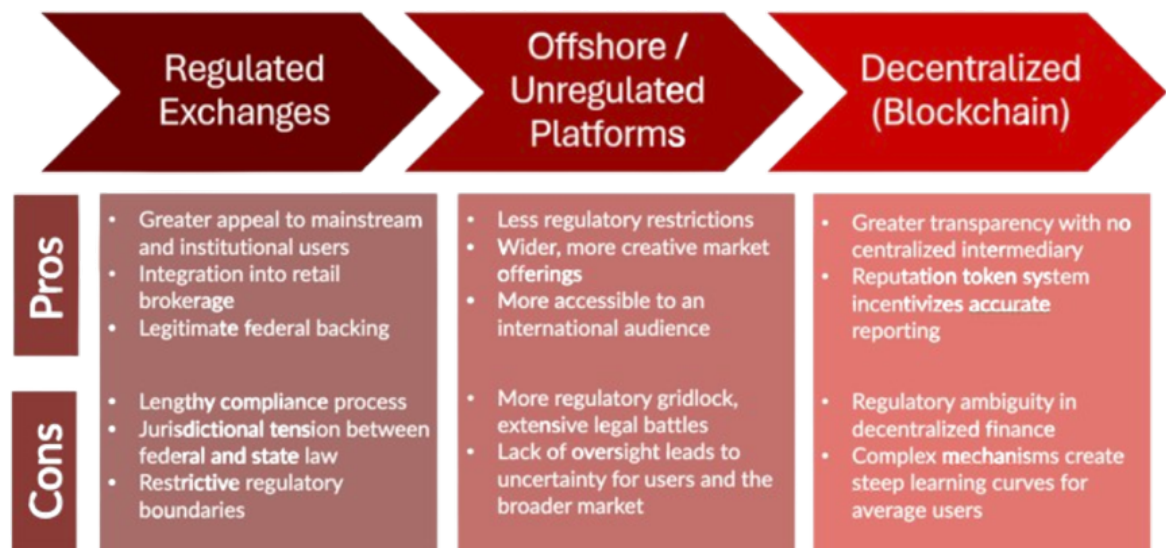


Figure 3: Comparison of Prediction Market Platform Models

traditional betting remains prohibited. One of the most prominent cases is Polymarket, who paid millions in fines to the CFTC for facilitating event markets without registration back in January 2022, but restructured offshore three years later and skyrocketed in trade volume, with over \$3 billion in monthly volume in October 2025.¹⁶ While this avoids the compliance cost and heavy regulatory oversight, unregulated exchanges lack connection to financial infrastructure and are subject to greater legal backlash. Users have even begun using unregulated platforms as mediums for insider trading; for example, Polymarket’s offshore exchange received a spike in contract purchases relating to US strikes on Iran shortly before its occurrence in February 2026, causing aggressive federal scrutiny and investigation.¹⁷

Decentralized blockchain-based prediction markets are different from betting sites in that prices are set based on market sentiment rather than a centralized intermediary. This is facilitated by blockchain technology, where transactions are recorded on a public ledger that each user edits, thereby allowing for verification of transactions based on public consensus and making it practically impossible to manipulate. This system of

¹⁵ [Stinson LLP](#)

¹⁶ [CFTC](#)

¹⁷ [Wall Street Journal](#)



decentralized verification eliminates the need for a centralized intermediary. One of the most prominent decentralized prediction markets is called Augur, where users stake Reputation tokens on outcomes and receive settlement fees from the markets on a successful prediction. They can then post progressively larger Reputation bonds to contradict proposed market outcomes, at which point the market splits into alternative outcomes when opposition reaches a certain threshold. This system is designed to reward honest, accurate reporting of outcomes.¹⁸ Decentralized prediction markets, in short, provide greater transparency and accessibility.

These three structural models represent tradeoffs among compliance, flexibility, and centralization. Regulated platforms like Kalshi comply with regulatory bodies but are subject to potential regulatory gridlock between federal and state law. Unregulated platforms like Polymarket benefit from less oversight, but may also become subject to greater scrutiny and more severe legal penalties. Decentralized platforms eliminate centralized institutional intermediaries, but they may do so at the cost of transparency. These distinctions represent the spectrum of decisions that the leading prediction markets undertake, and the considerations that must be made when deciding the direction of future platforms.

4.2 Drivers of Growth

The growth of prediction markets from mere exchanges into forecasting tools can be attributed to several factors, the most prominent of which is retail investor curiosity. This is a phenomenon where markets are more accurate than experts because market participants risk real money in their decision-making, thereby forcing more accurate predictions than traditional polling or media analysis.¹⁹ It is for this reason that prediction markets are gradually being seen as information aggregators rather than gamified betting platforms. The \$0 to \$1 contract structure, which implies probabilistic event odds in a percentage-based form, further contributes to this shift. More specifically, the price at which a contract trades between \$0 and \$1 represents the market-implied probability of that event occurring. This makes it easy for retail investors to interpret the meaning of these contracts, allowing them to more confidently engage with the market.

Increased public interest in forecasting and probabilities has also contributed to this growth, with a drastic increase in platform usage post-pandemic. Global pandemic responses raised speculation among users, and the rise of commission-free trading platforms provided such a platform for these users to voice this speculation.²⁰ According to Dr. Harry Crane, most market participants fall into one of three groups: profiteers, hedgers, and gamblers, all contributing to the market dynamic. The more interesting the event, for example, the Super Bowl or the presidential election, the more gamblers there

¹⁸ [Peterson et al.](#)

¹⁹ [Forbes](#)

²⁰ [TradeAlgo](#)

will be to trade on the contract. The liquidity that gamblers inject into the market will throw the probability off where it should be. Profiteers take advantage of this imbalance to make money, and hedgers trade the outcomes that offset their risk. The dynamic between these participant groups is what sustains the market.

Election cycles and other political events have always been points of differing opinions, and the amplification of media sources have raised speculation, with a variety of media sources providing respective varieties in opinion. And with recent court rulings that lifted restrictions that limited political betting, users now have platforms by which they may voice their own political opinions in an environment where monetary stakes are tied to the outcomes of their opinions.²¹ These stakes transform contracts into real-time probability signals. For example, when a candidate trades at \$0.75, it represents a 75% chance that the candidate will win, reinforcing confidence in this candidate, and spreading rapidly once this signal is picked up by the media. As opposed to polling, which is inherently weaker due to various biases, prediction market contracts offer a more accurate signal which will be taken into greater consideration, especially in the political sphere.²²

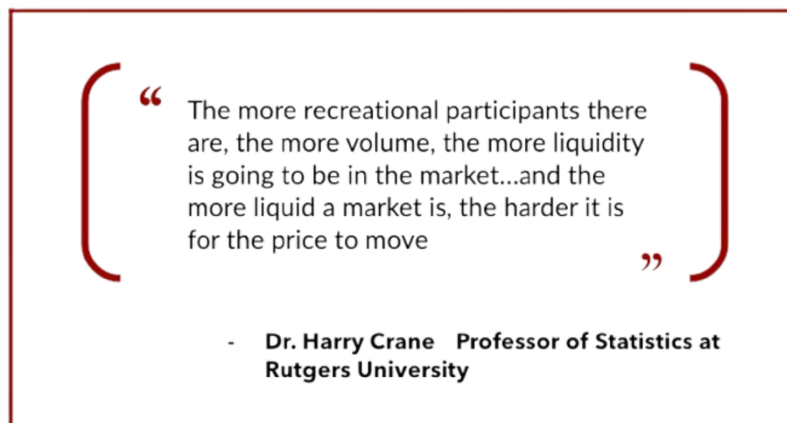


Figure 4: Dr. Crane's Perspective on Liquidity and Price Stability

But aside from speculation, for which users will try to profit off of their opinions on event outcomes, prediction markets have also grown into a means of hedging risk. Event contracts may be used to hedge event-driven risks and help investors manage portfolio exposure by trading on event outcomes that would weaken their portfolios, thereby mitigating a small portion of the overall risk traders undertake.²³ For example, an investor whose portfolio is mainly pharmaceutical equities may trade event contracts on more stringent FDA regulations to offset potential losses. Portfolios more sensitive to event-driven outcomes will find greater benefit in being able to directly trade on those outcomes and hedge against these risks.

Alternative income motivations and passive engagement represent yet another driver, typically among market participants who hold expertise in the contracts that they trade. This may come in the form of a sports statistician trading on the outcome of a match, or a researcher trading on the passage of a small-molecule drug, opening an alternative

²¹ [Financial Times](#)

²² [Token Metrics](#)

²³ [Investing.com](#)



income stream built solely upon their expertise in the field. This frames the predictive market ecosystem as an outlet for specialized knowledge.²⁴

Overall, supporters of prediction markets assert that participants engage with these markets for different reasons, some to profit off of their speculations, others to hedge exposure to real-world risk, some to gamble, and others yet to track public opinion on event outcomes in real time.

4.3 Constraints and Challenges

With the growth of prediction markets in a legal gray area between derivatives trading and gambling, comes friction from key regulatory bodies. For example, the Commodities Futures Trading Commission (CFTC), which presides over US financial markets, issued a “Prediction Markets Advisory” in February 2026, warning that these platforms are subject to prohibitions against fraud, market manipulation, and disruptive trading practices and announced that the agency will likely be increasing its enforcement scrutiny of prediction markets and their participants.²⁵ This comes in an effort to push prediction market platforms to register as regulated exchanges, increasing compliance costs and limiting market reach. Despite an increase in regulatory compliance between certain platforms that desire to hold regulatory authority over other competing exchanges, it also comes at the cost of these governing bodies’ desire for limitations to these platforms.

In addition, most event contracts have liquidity limitations. Because there is such a wide range of events, certain event outcomes will experience less market activity, that is, fewer contracts being bought or sold. This is referred to as trade volume, and less trade volume means less capital to buffer against price shocks, making certain events more susceptible to flash volatility as opposed to traditional derivatives. This means that large orders in certain events can cause price collapses or spikes, not because of a sudden shift in public opinion, but because the market volume is too small to effectively absorb the influx.²⁶ The challenge that comes with the increased flexibility of prediction markets is finding a way to absorb price volatility, even if market volume is spread increasingly thin.

And because of liquidity limitations and other weaknesses surrounding prediction markets, they are especially susceptible to certain types of market manipulation. The most prominent example, and by far the most difficult to detect, is that of insider trading, where certain individuals will have non-public information that allows them to make a more informed decision on certain trades. For example, Kalshi fined and issued a five-year ban on a political candidate who was trading on his own candidacy.²⁷ The decentralized nature of many prediction market platforms, however, makes it difficult to

²⁴ [BettorEdge](#)

²⁵ [Baker McKenzie](#)

²⁶ [KPMG](#)

²⁷ [Congress.gov](#)



identify insider participants. Another example is wash trading, where market volume is artificially inflated by users buying and selling contracts instantaneously, which will not impact real market sentiment as these markets are supposed to. In fact, around 25% of all activity on Polymarket over the past three years was found to be the result of wash trading, according to a Columbia University study.²⁸

Furthermore, the overwhelming debate surrounding prediction markets is whether they are viewed as a legitimate means of investing in event contracts, or whether they are a form of gambling. This concern is especially prominent among younger demographics as these platforms circumvent age restrictions on gambling. Kalshi, for example, has an age requirement of 18 to actively participate in the markets, while sports betting is restricted to ages 21 and over, raising questions of whether these platforms function as proxies for underage gambling.²⁹ Critics themselves state that contracts may be exploited as a way to circumvent state-level gambling provisions. In addition, while most individuals will trade based on their own public opinion, there is also a risk of markets becoming self-referential, where traders will simply follow the majority to have the greatest chances of winning. On the contrary, individuals may take an opposing position not out of disagreement, but for a greater potential win. These behaviors further the argument likening prediction markets to gambling, and this debate bleeds into corporate adoption and legal compliance, as companies are more likely to participate if prediction market products are treated as legitimate financial instruments.

And finally, the events that are traded on these platforms are inevitably tied to a degree of controversy, and there is a great degree of conflict surrounding "material non-public information" (MNPI) and the potential for "war markets." For example, in early March 2026, users were placing millions of dollars in bets on whether Iran's Supreme Leader, Ayatollah Ali Khamenei, would be removed from power shortly before he was killed by a US-Israeli military strike, with analysts identifying several accounts that collectively made over \$1 million in profit from bets tied to the timing of the strike.³⁰ While not explicitly tied to war, the situation raised questions about whether prediction markets might indirectly serve as "war markets" when contracts depend on geopolitical events involving military action or national security.

Altogether, while each and every form of financial security comes with its own unique challenges, these constraints must be taken into consideration as predictive markets become more common in the current investment landscape.

5. Economic Implications

5.1 Markets as Forecasting Mechanisms

²⁸ [CoinDesk](#)

²⁹ [PlayUSA](#)

³⁰ [Wall Street Journal](#)

Prediction markets use prices to represent probability estimates of an event occurring and, as such, can be used to efficiently aggregate disparate pieces of information. In some cases, that includes risk-neutral probabilities, while in others, participants were allowed to wager more than just cash. The argument is not merely theoretical; it is empirical. Main findings show that market-generated forecasts are typically fairly accurate, and that they outperform most moderately sophisticated benchmarks³¹. This point is underscored by noting that individuals with greater conviction, those willing to bet more money, tend to have a larger influence on equilibrium prices, making the market price a wealth-weighted average belief of the participants rather than a simple average.

Traditional Polls



- ☐ Updated at fixed intervals
- ☐ Stale shortly after publication
- ☐ Produces single point estimate
- ☐ Hides uncertainty and tail risks
- ☐ Beat by prediction markets 74% of the time

Prediction Markets



- ☐ Updated continuously in real time
- ☐ Always reflects latest information
- ☐ Produces a full probability distribution
- ☐ Makes uncertainty explicitly visible
- ☐ Outperformed polls in every election studied

Figure 5: Traditional Polls Versus Prediction Markets as Forecasting Tools

One particularly important feature is how fast prediction market prices are updated with new information. Unlike surveys, which are taken at fixed intervals and become stale shortly after publication, prediction market prices are continually updated. More research shows how prediction markets continuously incorporate new information in ways that

standard survey methods can't structurally replicate³². This is not just a matter of practical convenience - it is a formal property of efficiency and becomes particularly useful in situations where conditions are changing rapidly, and where the time of a forecast is as important as its accuracy.

Prediction markets also result in entire probability distributions over outcomes, as opposed to single-point estimates. A quantitative model may forecast the level of GDP growth of 2.3% next year, but a well-designed prediction market can provide the full probability distribution of that growth across a range of intervals, which will give policymakers and business strategists information about tail risks and uncertainty that a single number cannot convey. As more findings explain, a set of binary contracts on different aspects of an economic variable recovers the PDF of the variable as experienced by the markets, essentially a continuously updated probability distribution created by the market itself³³.

³¹ [Brookings](#)

³² [Brookings](#)

³³ [Brookings](#)

The empirical evidence is clear, and prediction markets are favored over polling. One study looks at more than a decade of data from the Iowa Electronic Markets, found that the IEM predicted the winner over professional polling organizations 74% of the time in the cycles of presidential elections. For forecasts made over one hundred days before an election, the market performed better than polls in every single election studied. The intuition is simple: polls reflect stated preferences at a point in time, but market prices reflect forward-looking beliefs on how events will evolve - changes in campaign momentum, economic shocks, emerging news, etc. Polls simply cannot³⁴.

The comparison with professional expert forecasters is also very favorable, although much more nuanced. This is also a reason why prediction markets tend to be better than professional forecasters at predicting economic variables: many of these variables have an incentive structure that often rewards an accurate prediction (i.e., a forecaster who gets the answer wrong has limited personal consequences), whereas a market participant with a mispriced contract stands to lose money. This leads to better incentives for the revelation of true information. A notable exception occurs with so-called superforecasters - a small group of people with exceptional calibration track records - who can sometimes rival the accuracy of the market, especially where the overall group of participants is shallow. The implication is that small, elite crowds are better than large crowds in thin-market environments, although markets and elite prediction polls are “statistically tied” if both systems are well-designed³⁵.

This comparison with quant models is the hottest disputed front line. Recent Federal Reserve research on Kalshi by Diercks, Katz, and Wright makes a direct comparison of prediction market forecasts with Bloomberg consensus estimates, which involve sophisticated quantitative models as well as data from professional surveys, and finds that Kalshi provided a statistically significant improvement in headline CPI forecasts. For Federal Reserve interest rate decisions, Kalshi’s forecasts had a perfect record on the day before FOMC meetings in the studied sample, beating even fed funds futures that is the standard benchmark for professional interest rate traders around the world. These aren’t marginal improvements; they indicate that on short horizons and for well-defined and liquid events, prediction markets may be some of the best forecasting tools available.

5.2 Impact on Decision-Making

5.2.1 Decision-Making on the Corporate Level

Understanding how prediction markets improve accurate forecasts can change the macroeconomic environment for industries and governments globally. Whether that accuracy actually makes a difference in decisions, and better outcomes, is what makes it economically important. The best corporate evidence comes from the 2015 Review of

³⁴ [ScienceDirect](#)

³⁵ [ScienceDirect](#)

Economic Studies paper that looked at internal prediction markets at Google, Ford Motor Company, and an unnamed basic materials conglomerate. Their finding is striking: despite operating under theoretically adverse conditions - small trading populations, limited financial incentives, known biases of employees - the internal markets “improve upon the forecasts of experts at all three firms by as much as a 25% reduction in mean squared error”³⁶.

At Ford, the internal market was used for the weekly sales forecasting of vehicles. The results demonstrate that simultaneous prediction market forecasts outperformed the expert forecast, achieving a 25% lower mean-squared error on sales projections, enabling for better production planning response³⁷. At Google, 270 internal markets regarding product launch schedule, hiring projections, and revenues in general generally went well. However, when markets involved the performance of Google as a company, optimistic forecasts were likely to happen more than they were, especially for traders who were newer employees³⁸.

The general theme for all of these cases is that prediction markets surface the organizational knowledge that hierarchical organizations tend to suppress. In most firms, there are good social and career incentives to give optimistic projections to management, which can be described as the ‘good news filter’ of corporate communication. Prediction markets fundamentally change this incentive structure: with no financial incentives for pleasing a supervisor, but instead to be correct, honest bets are made. This is why prediction markets can outperform expert forecasts despite large differences in market design, operation, participation, and incentives across different organizational contexts³⁹. The market mechanism brings out the truth that hierarchies tend to obscure.

The corporate use of prediction markets has spread far beyond Google and Ford. According to a survey of the usage of corporate prediction markets, organizations such as Boeing, General Electric, Goldman Sachs, Hewlett-Packard, Intel, Microsoft, and Siemens have all had internal prediction markets at various times⁴⁰. Hewlett-Packard’s internal markets produced a better printer sales forecast than official internal processes. Best Buy used prediction markets to predict the timing of the store openings, with the market accurately predicting delays that the internal managers were unwilling to admit. Each of these cases exhibits the same basic dynamic: prediction markets as a mechanism for bringing inconvenient truths to the surface that are usually filtered out by hierarchical structures.

³⁶ [FungInstitute](#)

³⁷ [FungInstitute](#)

³⁸ [Brookings](#)

³⁹ [FungInstitute](#)

⁴⁰ [FungInstitute](#)

5.2.2 Decision-Making within the Public Sector

Within the public sector, analysts have enhanced those aspects of the institutional environment by looking at Kalshi as a real-time source of macroeconomic expectations; comparing its forecasts to the FED's own Survey of Market Expectations, Bloomberg consensus, and fed funds futures⁴¹.

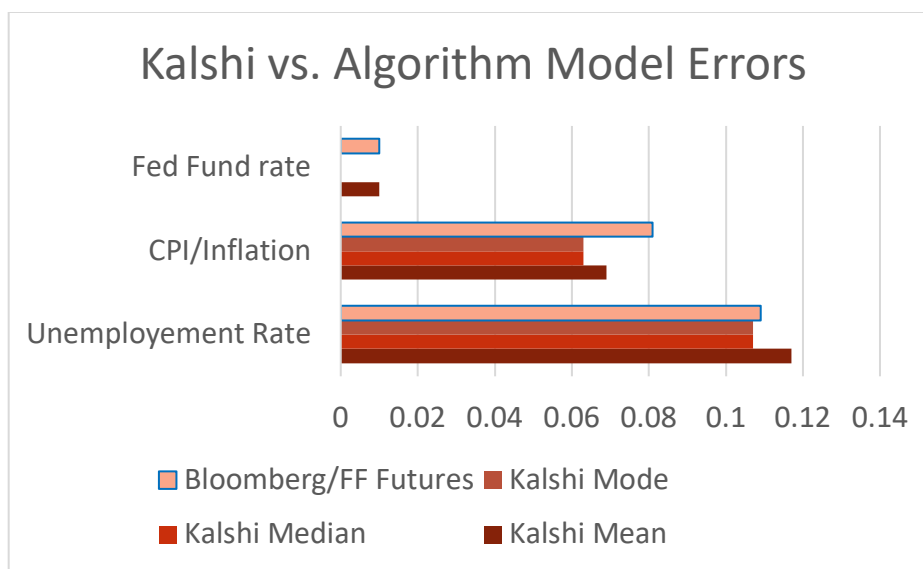


Figure 6: Kalshi Forecasting Error Compared to Algorithmic Benchmarks

First, Kalshi offers continuously updated distributional forecasts for macroeconomic variables, including GDP growth, core CPI, and unemployment, for which there have not been liquid options markets in the past. While inflation swaps and options cover headline CPI, Kalshi is the only one to extend market-implied probability distributions to other key indicators at high frequency. This fills a true void in the world of macroeconomic information. Second, for FOMC rate decisions, the paper finds that Kalshi's mean absolute error is similar to that of unprofessional forecasters at a 150-day decision date and improves them as the decision date approaches. Third, the study documents an important and policy-relevant asymmetry: positive inflation surprises (higher than expected readings of the CPI) tend to cause much larger upward revisions in the expected Fed funds path than do equivalent negative surprises. This asymmetry has direct implications for the understanding of the formation of market participants' expectations about monetary policy.

These findings allow for a new method to study monetary policy transmission, market sentiment and macroeconomic uncertainty, using prediction markets not as a substitute for traditional central bank tools, but rather a useful and previously unavailable complement ⁴². This framing is important because it implies that even conservative, data-

⁴¹ [Federal Reserve](#)

⁴² [Federal Reserve](#)



driven institutions such as the Federal Reserve are starting to take prediction market signals seriously as inputs to policy analysis.

Prediction markets can serve as traditional asset markets' forecasting inputs, as well as act as indices of financial sentiment that change together with, and in some cases, lead, traditional asset markets. By tracking simultaneous movements in prediction market prices and equity futures during the 2004 U.S. presidential election, researchers estimated that markets anticipated higher equity prices, interest rates, and a stronger dollar under a Republican presidency than under a Democratic one, and that electing a Republican president raises equity valuations by "2-3 percent" on average since 1880⁴³. After receiving early vote counts that confirmed Bush's lead, the equivalent stock market index of the S&P 500 increased almost in parallel with the predicted partisan impact of the outcome.

Businesses can apply this methodology to their business strategy and risk management decisions. They can track in real time the probability that some piece of legislation will become law (including the passage of new tariff laws and regulations, the implementation of tax reforms, etc.) by observing how the market is behaving in response to changes in legislation, which allows them to create more structured hedges against policy risk; to make better decisions about capital allocations (i.e., how to invest their capital), and to be able to make contingency plans based on actual probabilities as opposed to qualitative scenario names. As prediction market models become more developed and liquid with respect to predicting economic policies, these types of applications will become increasingly important in efficient risk management by corporations.

5.3 Market Efficiency Considerations

Prediction markets can operate effectively and produce highly dependable results when certain conditions are present. However, it is equally imperative to understand the harm that occurs when prediction markets do not deliver and why that happens. They do not

Reliable Forecasts		
Liquidity	Diversity of Traders	Verifiable Resolution Criteria
• Multiple sources of info • More participants and volume • Offsets influence of large trades	• Varying evidence and biases • Helps negate biases • Independent opinions	• Clear result definition • Unlogical connection between two events can lead to inaccuracies

Figure 7: Key Conditions for Reliable Prediction Market Forecasts

⁴³ [Bookings](#)



deliver; instead, they depend on good design, sufficient liquidity, and high-quality traders.

Through recent studies, there are three vital characteristics that predict markets must exhibit to create reliable forecasts. First, trends require sufficient liquidity, or multiple sources of information. Having enough participants and volume involved with trades ensures that the prices represent real information, not just the whims of any few large traders. Large trades may change the market price, but there is no new information about the actual underlying event occurring at that time. Second, diversity of traders is critical to ensure that traders have varying evidence of sources and have different biases. If all the active traders rely on similar sources of evidence (e.g., models and biases), the market will reflect the biases of the traders rather than negating their biases. The wisdom of the crowd relies heavily on the independence of the assessments that are made by each member. Finally, well-defined verifiable resolution criteria are essential for effective market forecasts. When there is no ambiguity with respect to what the underlying question to which the prediction market is attempting to obtain is, the prediction market is most successful. When there is ambiguity or possibility of post-hoc interpretation regarding how the underlying question/resolution will be defined, the prediction market is least successful. This is comprehensively due to introducing unmodelable “settlement risk”, where the final outcome may rely on interpretation rather than objective data. Users may become less engaged, reduce liquidity, and have disputes over results, having participants struggle to trust the settlement logic.

AI-powered trading tools are becoming a substantial and underappreciated new type of risk to the integrity of prediction markets because many users may rely on the same large language model for formulating their trades. If a majority of users make trades based on the same large language model, there is a strong likelihood that the behaviors of these participants will correlate in a way that causes systematic distortions in the market prices—this phenomenon could be called Monoculture. The total number of traders will still establish the market price; however, the total volume of diverse information that will be aggregated (and, hence, the total amount of effective and diverse aggregate information) will be significantly lower than what the number of traders might imply. As trading with AI tools in prediction markets becomes increasingly common, it is important to assess this risk even if it is only a theoretical possibility at this point.

The ideal of models for collecting information into people’s expectations regarding future events, prediction markets do have problems due to the fact that they do exhibit systematic biases to reduce their efficiency. The best example of this would be the favorite-longshot bias that has been documented numerous times already. In the case of prediction markets, it has been demonstrated that contracts associated with events that are more likely to occur will typically be priced below their true probability of occurring and vice versa (i.e., will be priced higher than they should). At the same time, the



occurrence of longshots is also observed in both sports betting markets and in prediction markets. A study documenting Tradesports data shows the extremely unlikely (high and low) outcomes for the S&P 500 are relatively over-priced in prediction market contracts, consistent with the longshot bias being driven by traders who "overweight low-probability events" on the concepts presented within prospect theory⁴⁴.

Another important source of failure is herding. Research using agent-based modeling for predicting herding in markets illustrates that herding agents, traders who rely heavily on the market price to determine their belief, cause significant delays in the correction of price distortions due to manipulative large traders. Even small amounts of herding traders within a trader base can continue to support price manipulation for several trading periods, indicating that typical assumptions about manipulation resistance in prediction markets may not hold in areas with large numbers of concentrated capital. In an analysis of political betting in the early 20th century, there have been similar instances of attempted manipulation in betting markets, but conclude that large, liquid markets have been able to absorb such attempts without permanently altering prices. This implies that manipulation resistance is a characteristic of liquid, diverse markets—rather than inherent attributes of prediction markets.

The 2024 U.S election market provides an empirical example of inefficiency: prices of the same contracts have vastly divergent prices between exchanges; prices are changing daily, again with weak or negative autocorrelation from one exchange to another; Peak arbitrage opportunities emerged during the final two weeks before Election Day. Therefore, while the markets ultimately arrived at the right answer, they did so in an inefficient manner that deviated significantly from the empirical model of efficient markets.

All of these deficiencies do not make prediction markets impossible to use but rather indicate the types of situations in which they are useful. Participants' calibration and diversity were sufficient explanations for why "even markets with 20 to 60 people" have operational success⁴⁵. Based on the continuing decrease in bid-ask spreads as volume develops; combined with the increasing use of Logarithmic Market Scoring rules to provide a market-maker mechanism for thinly traded environments, it is evident to the industry that it is continuing to learn from previous failures.

6. Financial & Investing Implications

6.1 Predictive Markets as an Emerging Asset Class

Prediction markets have transitioned from purely betting platforms into legitimate financial infrastructure by offering information about probabilities that traditional markets can't predict. While standard analysis is subject to broader macroeconomic

⁴⁴ [Prediction Markets](#)

⁴⁵ [Prediction Markets](#)

noise prediction markets allow for isolated data. This utility serves three primary functions: speculation, hedging, and arbitration.

Speculation: An example of speculation occurred during Tesla's 2025Q3 earnings cycle, which centered on whether the company would "beat" or exceed the analyst consensus forecast for earnings per share. When Tesla released vehicle delivery numbers at 9:00 AM, the prediction market immediately priced in a higher probability of a beat. Within an hour of the announcement, the market price for a "beat" contract jumped from \$0.44 to \$0.80. Meanwhile, professional analysts required days to revise their forecasts to reach the same conclusion. This velocity of information allows speculators to profit from the lag in traditional institutional reporting.⁴⁶

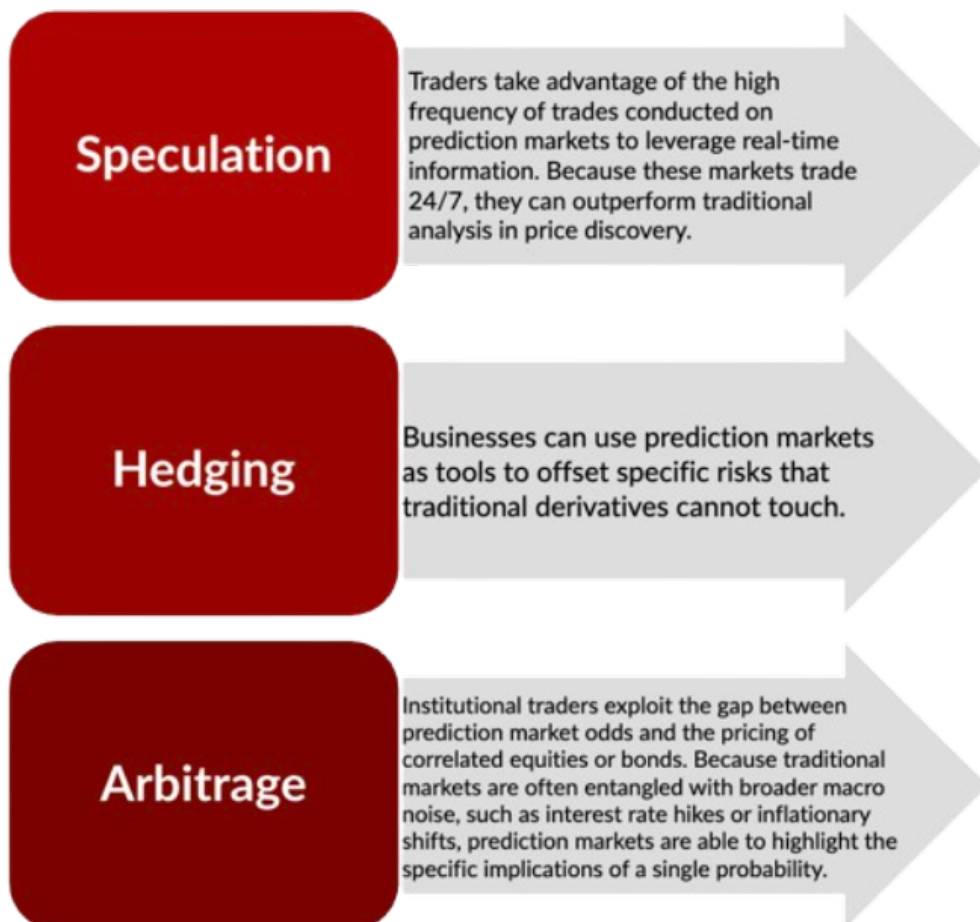


Figure 8: Core Financial Uses of Prediction Markets

Hedging: An illustration of hedging describes a local deli owner unsure about the potential loss of foot traffic due to a cancellation of a nearby concert. The deli owner can bet on the cancellation of the concert; by hedging the concert, the deli owner ensures a payout whether it is canceled or not, minimizing their risk. While useful for small operations like a local deli, this logic scales to multinational corporations hedging against specific regulatory changes like a FDA approval or SEC ruling that traditional insurance cannot cover. Businesses will be able to use event contracts to hedge against noise in regulatory rulings and trade conflicts, creating a custom insurance policy that pays out based on the resolution of an event, although currently, trading volumes in most of these markets are too low for these use cases.⁴⁷

Arbitrage: Arbitrage allows traders to separate specific event risks, such as a CEO's departure or a corporate merger, from general market volatility. By comparing the

implied probability on a prediction market to actual stock price movements, institutions can identify mispricing in equity.⁴⁸

6.2 Retail Investor Behavior

Quantitative firms and hedge funds are increasingly using prediction market data as a high signal indicator in addition to traditional research. To examine this edge, a research team from the London Business School and Yale University (Gomez Cram et al., 2025)⁴⁶ extracted transaction data directly from the Polymarket Blockchain which serves as a public ledger for Polymarket. Unlike traditional stock exchanges where identities of individual traders is kept private, blockchains allowed researchers to use APIs to pull the history of every digital wallet active in earnings markets. By using “linkage analysis” to track these anonymous wallets across different betting categories they identified a “sophisticated subset” of traders who consistently hit profits in unrelated areas like sports and politics. Success in different types of markets suggests these subset of individuals are not just lucky but are likely professional analysts using advanced research tools to find an edge.

The researchers argue the primary value of this data is its ability to quantify the bias that exists in traditional bank forecasts. Because analysts often intentionally change their predictions to maintain corporate relationships, the study demonstrates that prediction market prices ($p_{i,t}$) can be used to mathematically isolate this bias by measuring the deviation from the market's neutral point:

$$\text{bias}_{i,t} = p_{i,t} - 0.5$$

While traditional analysts deal with biased incentives, these market traders are driven purely by profit. This leads to superior price discovery; the market often reflects the true value of a stock minutes after news breaks. The most significant evidence of this edge is found in their combined return model:

$$r_{i,t} = a_3 + b_3 \text{SUE}_{i,t}^{\text{analyst}} + b_4 \text{SUR}_{i,t}^{\text{pred}} + \epsilon_{i,t}$$

By incorporating the “Prediction Market Surprise” (SUR^{pred}) along with traditional analyst data ($\text{SUE}^{\text{analyst}}$) researchers found they could explain 66% more variation in announcement day stock returns. This shows that prediction markets offer unique information that is invisible to traditional financial models, offering a distinct advantage to firms able to capture this real time data.

6.3 Institutional Interest

⁴⁶ [Gomez Cram et al. \(2025\)](#)

The rapid adoption of prediction markets in the hands of retail participants in 2025 and 2026 is the effect of a fundamental shift in the way people perceive and act on information. Unlike traditional financial markets that require deep expertise in areas like corporate finance and macroeconomics, prediction markets allow retail traders to capitalize on knowledge that feels truly unique to their experience. Things like who will win the local election, the success of a new movie, or a local policy change are the types of contracts that have turned platforms like Kalshi and Polymarket into entertainment investing hybrids where users aren't just trying to build wealth but to compete for the correct information.

By early 2026 prediction markets became a core high margin revenue stream for Robinhood. According to Robinhood's January 2026 Operating Data the firm processed a record high 3.4 billion event contracts in a single month, a 17% increase over December making it one of its fastest growing businesses. This high frequency is driven by new users who view these markets as a viable income stream. Because these contracts settle immediately upon the resolution of an event they offer a velocity of capital that traditional stocks cannot match.⁴⁷

Retail participants are increasingly utilizing these contracts as a portfolio diversification tool to navigate the volatile economic landscape. In 2026 traditional retail markets have faced significant volatility driven by inflation and a nonlinear recovery that has hurt consumer spending. In this environment event contracts have a distinct advantage as their outcomes are uncorrelated with broader economic movements. The binary nature of these contracts allows investors to isolate events without the correlated volatility of

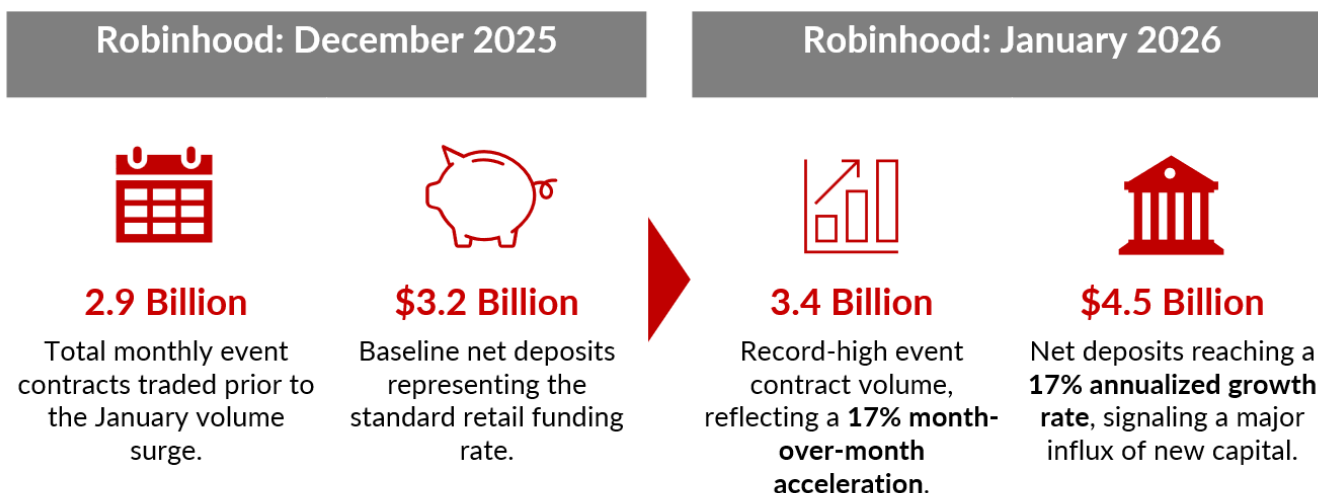


Figure 9: Robinhood Prediction Market Growth from December 2025 to January 2026

the S&P 500. This ability to hedge against specific real world outcomes rather than deep

⁴⁷ [Robinhood](#)

financial knowledge has made prediction markets a core piece of the modern retail portfolio.⁴⁸

These markets have redefined the role of the investor into a source of accurate and true data. In an era of media mistrust, market prices have emerged as a trusted metric of public opinion. The growing trend of retail traders publicly sharing their trading positions has transformed the way people perceive information into a competitive activity. By risking money on news outcomes, these users have effectively gamified the validation of truth, where a social proof of one's trade serves as the proof of their conviction. This cultural shift has forced a change in financial media, with major outlets now featuring live prediction odds alongside stock tickers, acknowledging that the consensus of the crowd is often a more reliable leading indicator.⁴⁹

6.4 Risks to Participants

Users of earnings prediction markets face a structural risk known as the violation of the law of one price. According to Gomez Cram et al. (2025)⁵⁰, while buying both "Yes" and "No" options on retail platforms like Polymarket costs exactly \$1, a rational professional market should price this pair at $1/R(K)t$ to account for the risk-free interest rate. Because these platforms do not pay interest, participants effectively provide an interest-free loan, incurring a hidden opportunity cost.

Beyond structural costs, participants are exposed to extreme liquidity risk. The researchers found that the average earnings contract is highly illiquid, with prices updating during only 6% of trading minutes. This lack of depth leads to "slippage," where traders must accept lower offers to exit large positions.

Additionally, retail users risk trading against a "sophisticated subset" of traders. This information imbalance is particularly visible in contracts linked to specific auditors, which exhibit significantly lower Brier scores, calculated as:

$$\text{Brier Score} = \frac{1}{N} \sum_{i=1}^N \left(p_{i,t} - \mathbb{1}_{\{X_{t+K}^i > \bar{F}_t^i\}} \right)^2$$

The Brier score measures the accuracy of probabilistic forecasts on a scale from 0 to 1, where 0 represents perfect predictive accuracy and 1 represents total inaccuracy. According to the research data, the prediction market's Brier score of 0.152 significantly outperforms the analyst benchmark of 0.250 and even the bias adjusted analyst score of 0.193.

⁴⁸ [Wharton](#)

⁴⁹ [Forbes](#)

⁵⁰ [Gomez Cram et al. \(2025\)](#)



This lower score indicates that the market's predictions are “suspiciously” accurate compared to traditional financial benchmarks. The statistical deviation suggests that these participants are likely trading on insider signals or utilizing advanced data tools that create an information edge over the average retail user.

7. Regulatory & Legal Lens

7.1 Regulatory Frameworks

Among all the debates surrounding modern prediction markets, the regulatory and legal debate is the one most likely to determine whether the industry becomes a durable part of financial infrastructure or remains a contested edge case between finance and gambling. That is because prediction markets do not fit neatly into one preexisting legal category. On one hand, they are structured as event contracts whose value depends on the occurrence or nonoccurrence of future events, but on the other, many of their most commercially successful products resemble wagers on sports, elections, macroeconomic shocks, or culturally salient outcomes⁵¹. Prediction markets operate within a legally complex framework because of its combination between financial regulation and gambling law. In the United States, the primary federal regulator is the Commodity Futures Trading Commission (CFTC), which oversees derivatives markets and determines whether certain event contracts may be listed on regulated exchanges. Within this framework, contracts that are correlated to future outcomes can be treated as financial instruments rather than simple bets. This is only bolstered by the CFTC-regulated platforms such as Kalshi, which provide accessibility to these markets⁵².

At the same time, the classification of these contracts is currently being contested due to their nature and the recent trend in demand output. Legal commentary on the sector describes binary yes-or-no contracts as products that “blur the lines between derivatives trading and betting,” while also emphasizing that CFTC registration alone does not eliminate legal risk⁵³. This observation is persuasive because it captures the actual structure of the current market. A contract on the federal funds rate or CPI release may look like a forecasting instrument or macro hedge, but a contract on March Madness, the Super Bowl, or congressional control looks much closer to a wager. Kurtz’s 2026 Boston College Law Review notes that political prediction markets are probably lawful under the current statute, but only because the statute itself is internally contradictory, and the courts have interpreted it in a relatively narrow way. In other words, prediction markets may be legal not because Congress clearly embraced them, but because the legal framework has not yet been fully clarified against them⁵⁴.

⁵¹ [Boston College Law Review](#)

⁵² [Aurum](#)

⁵³ [Aurum](#)

⁵⁴ [Boston College Law Review](#)



The regulatory lens becomes even more complicated once decentralized markets are considered. Mattmuller, a writer on the Georgetown Law Technology Review, explains that decentralized prediction markets raise novel legal issues because they often lack a clear centralized intermediary. Concrete cases like the CFTC have previously fined Polymarket, and Mattmuller uses those enforcement actions to show that regulators are willing to act even when the product is built on decentralized or blockchain-based architecture. The deeper issue is that older regulatory tools were designed for centralized exchanges, brokers, and clearing systems. Decentralized prediction markets disrupt that model by diffusing control across software, token-based governance, and globally accessible interfaces. As a result, the question is not only whether a contract is lawful, but who can be regulated when the market itself is technologically fragmented⁵⁵.

The CFTC's Polymarket enforcement action shows that regulators are still willing to act when prediction markets use blockchain-based structures. In 2022, the CFTC charged Polymarket for offering off-exchange event-based binary options contracts without registering as a designated contract market or swap execution facility. The order required Polymarket to pay a \$1.4 million civil penalty and wind down noncompliant markets⁵⁶. The CFTC also stated that derivatives markets must operate within the law regardless of the technology used, including in decentralized finance settings. This enforcement action supports Mattmuller's point that decentralized prediction markets raise extreme regulatory questions. The legal issue is not only whether a contract is permitted, but whether regulators can effectively supervise the people, platforms, and technical systems that make the market function.

7.2 Core Tensions

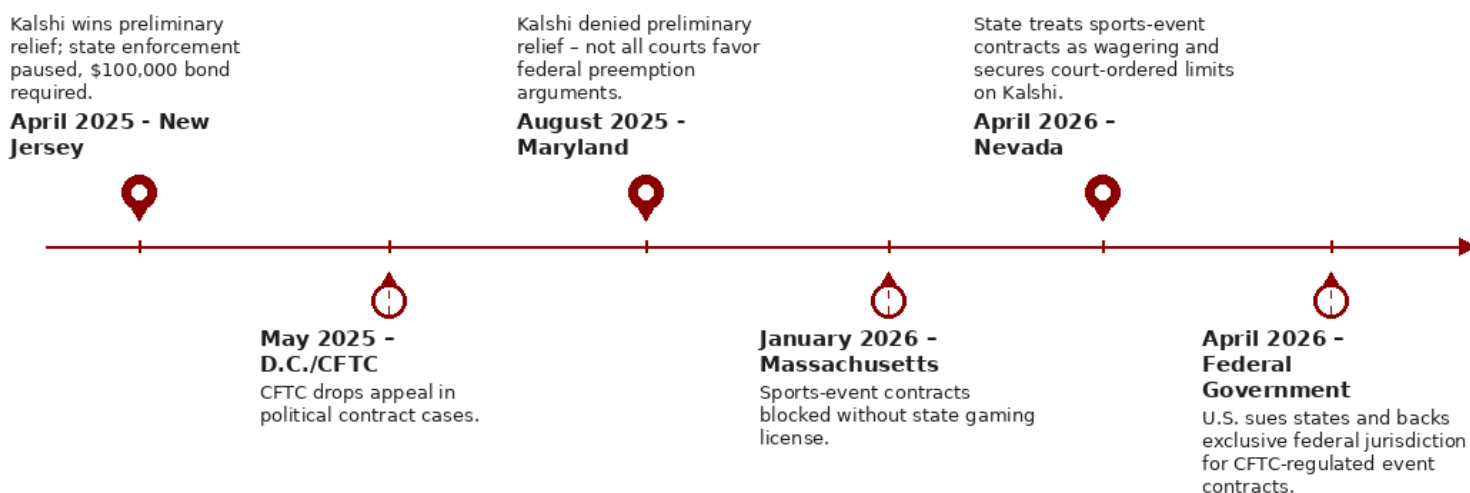


Figure 10: Legal and Regulatory Developments in Prediction Markets, 2025–2026

⁵⁵ [Georgetown Law Technology Review](#)

⁵⁶ [CFTC Press Release](#)

Despite stronger federal recognition, the industry still faces jurisdictional conflict. In New Jersey, a federal court granted Kalshi a preliminary hearing in April 2025 after concluding that its sports-related event contracts fell within the CFTC’s exclusive jurisdiction and that state enforcement should be paused. Additionally, the same court required Kalshi to post a \$100,000 bond tied to the maximum statutory fine under the New Jersey Sports Wagering Act⁵⁷. Yet other jurisdictions have not followed the same path. Maryland denied Kalshi preliminary relief in August 2025; Massachusetts issued an injunction barring Kalshi from offering sports-event contracts without a state gaming license, and a Nevada judge temporarily blocked Kalshi in March 2026. Thus, this is creating a crack in the legal environment where companies can still be federally regulated yet still forced to defend themselves against state-level enforcement actions⁵⁸.

A second major tension revolves around the balance between innovation and consumer protection. Advocates of prediction markets argue that they improve market pricing, aggregate dispersed information, and offer new tools for forecasting and risk management. Diercks, Katz, and Wright’s 2026 Federal Reserve paper on Kalshi macro markets found that they provide a “high-frequency, continuously updated, distributionally rich benchmark” that is valuable to researchers and policymakers, especially for measuring macroeconomic expectations in real time⁵⁹. This is significant because macro contracts can help reveal market expectations about inflation, employment, Federal Reserve decisions, and other economic indicators. In that context, prediction markets can serve the public with valuable information.

At the same time, consumer-protection concerns become more serious as prediction markets expand toward retail users and gambling-like products. The CFTC’s March 2026 Advance Notice of Proposed Rulemaking shows that regulators are not simply endorsing prediction markets without limits. The agency asked for public comment on whether new rules are needed for event contracts traded on prediction markets, including questions about statutory core principles, prohibited contracts, cost-benefit analysis, and future regulatory action⁶⁰. Critics worry that these markets are tipping the side of online gambling while avoiding the safeguards sanctioned on licensed sportsbooks or casinos. There have been numerous concerns, ranging from market manipulation to inadequate responsible-gambling protections, that have made regulators more cautious, especially as these markets attract larger retail participation. Reuters’ March 12 rulemaking coverage noted that the CFTC specifically highlighted the need for protections against manipulation and the possibility of trading on margin, as well as concerns over contracts tied to terrorism and military action⁶¹. State officials have framed their pushback in

⁵⁷ [Holland & Knight](#)

⁵⁸ [Reuters](#)

⁵⁹ [Finance and Economics Discussion Series](#)

⁶⁰ [CFTC Press Release](#)

⁶¹ [Reuters](#)

public-health and consumer-safety terms: the Massachusetts judge emphasized that state licensure and oversight of sports wagering serve both public health and safety, and the state argued that Kalshi's product could be accessed by users younger than those permitted to place licensed sports bets.



Figure 11: Speculation Versus Hedging in Prediction Market Contracts

businesses hedge event-driven risks and produce public information. The CFTC itself has recently described event contracts as useful for managing exposure to future events, and Robinhood's 2025 launch of a prediction-markets hub through Kalshi was framed in similar terms. But critics argue that most of the market's public visibility and commercial energy comes from contracts that look much more like speculation than hedging.

Markets tied to elections, war, terrorism, regime change, or sports outcomes raise concerns that go beyond ordinary financial risk. In May 2025, the CFTC voluntarily dismissed its appeal in the Kalshi congressional-control litigation, leaving the district court's pro-Kalshi ruling intact and strengthening the legal footing of political event contracts for the moment. But that same development also increased pressure on regulators and lawmakers to respond in other ways. In February 2026, the CFTC's Division of Enforcement issued an advisory following two public enforcement cases involving misuse of nonpublic information and fraud in Kalshi-linked event contracts. In March 2026, Reuters reported that unusually profitable bets timed around Trump administration actions on tariffs, Venezuela, and Iran raised fresh concerns about whether prediction markets were becoming venues for insider-driven trading on public-policy surprises. Soon after, Reuters reported that Democratic lawmakers introduced the BETS OFF Act to prohibit prediction-market bets on government action, war, terrorism,

assassination, and events where the bettor can influence or know the outcome in advance. These developments show that even when prediction markets gain legal grounding as federally supervised contracts, they still face major scrutiny whenever the traded event implicates democratic integrity or manipulation risks.

7.3 Scenario Analysis

A regulatory-tightening scenario is becoming more plausible as many of the strongest political and legal signals in 2026 are not about broad enthusiasm, but about fear of abuse, underage access, and public sensitivity. The CFTC's March 2026 ANPR itself highlights that concern by showing that rather than simply endorsing the category, it asks how the public-interest standard should apply, what contracts should be barred, and how current law should respond to the market's increased expansion. The Enforcement Division's February 2026 advisory bolsters the tightening case by showing that misuse of nonpublic information is already a real concern, not just a theoretical possibility. State activity points in the same direction. Massachusetts blocked Kalshi's sports-prediction contracts without a gaming license, Arizona filed criminal charges against Kalshi in March 2026, Nevada sought and then secured court-ordered limits on Kalshi's operations, and several states continue to treat sports-event contracts as unlicensed wagering. On top of that, the Associated Press reported in April 2026 that tribal leaders described prediction markets as "unlawful gambling dressed up as finance" and called for congressional action⁶². If tightening wins, the most likely result is not a total ban on all prediction markets, but a narrower universe of permitted contracts, stronger age and surveillance controls, more explicit restrictions on sports and political markets, and heavier compliance obligations for platforms and brokers.

Ilya Beylin, an author of the UChicago Business Law Review, gives this tightening scenario further legal backing. His argument does not require regulators to ban all prediction markets. Instead, it allows regulators to distinguish between contracts that serve the purposes of derivatives law and contracts that do not. If the CFTC used hedging, then the contracts that are mainly utilized for entertainment or speculative purposes could be restricted, delisted, or left to state gambling regulation⁶³. This makes regulatory tightening more realistic because it would not require a full rejection of this market. Regulators could preserve macroeconomic and commercially useful contracts while narrowing down sports, political, entertainment, or geopolitically sensitive markets.

A second plausible scenario is regulatory expansion or partial normalization, especially for firms operating inside the federal derivatives framework. This scenario has gained credibility because recent litigation has strengthened the view that federally regulated event contracts can be shielded from at least some state gambling interventions. The Third Circuit's April 2026 ruling in favor of Kalshi is especially important because it endorsed the idea that sports-related event contracts listed on a CFTC-regulated

⁶² [Associated Press](#)

⁶³ [UChicago Business Law Review](#)



exchange fall under exclusive federal jurisdiction⁶⁴. That decision gives firms like Kalshi a stronger legal basis to argue that they are not simply evading gambling law, but participating in a national market supervised under federal derivative statutes.

The Arizona litigation also points in this direction. When a federal court temporarily halted Arizona's criminal case against Kalshi at the CFTC's request, it bolstered the message that the federal government is willing to defend its supervisory role over prediction-market products against more aggressive state action⁶⁵. That kind of intervention matters because normalization requires more than regulatory body leniency but requires legal victories that make the federal model feasible in court. If more jurisdictions adopt the same reasoning, prediction-market firms operating within registered exchange structures may gain a more stable legal foundation for continued growth.

Even so, normalization is unlikely to mean full acceptance of every type of contract. A more realistic version of this scenario is regulating expansion in which macroeconomic and other economic contracts become more accepted, while controversial categories remain constrained. The Federal Reserve's positive assessment of Kalshi's macro markets is important here because it gives normalization a substantive justification: some event markets appear to generate data that are genuinely useful for researchers and policymakers. That makes it easier for regulators and courts to distinguish between contracts that can plausibly serve as a public informational function and contracts that look primarily like speculative entertainment. In other words, expansion is most likely where the industry can show that its products do something more than mimic betting markets.

The practical consequence of these legal paths is that regulation is likely to determine not only whether prediction markets survive, but what kind of industry emerges. If the tightening trajectory outpaces, then the market will probably become narrower and more compliance intensive. Contracts tied to sports, elections, war, or other politically charged events would face greater litigation risk, possible legislative restriction, and stronger reputational headwinds. That would likely slow growth in the segments that currently generate much of the sector's retail visibility. If the normalization trajectory dominates instead, growth would still not be uniform. The strongest beneficiaries would likely be federally regulated exchanges offering contracts that can be defended as economically meaningful and informationally useful, because those are the products with the clearest support from both current litigation and academic research.

However, even in an expansion scenario, growth would likely be uneven. The most realistic outcome is segmented growth. Diercks, Katz, and Wright provide the strongest empirical basis for growth in macro markets because they show that those contracts can generate high-frequency and distributionally rich expectations of data that are useful to

⁶⁴ [U.S. Court of Appeals for the Third Circuit](#)

⁶⁵ [Reuters](#)

policymakers and researchers⁶⁶. Holden provides the strongest reason to expect slower or more contested growth in sports markets, because those contracts sit closest to the state-regulated gambling domain⁶⁷. Beylin adds that contracts with predominantly predictive functions may not satisfy the traditional goals that justified federal derivatives regulation in the first place, which implies that the market's future legal footing will vary by contract type rather than by platform alone. Mattmuller then adds an institutional dimension: even if centralized, federally supervised exchanges gain stronger acceptance, decentralized markets are still likely to face more persistent enforcement and accountability problems because of their fragmented architecture and the difficulty of identifying a single intermediary for regulatory purposes⁶⁸. Together, these sources support a more developed conclusion than a generic patchwork forecast. The most likely near-term future is a differentiated market structure in which macroeconomic event contracts are the leading candidates for broader normalization, while sports, political, and geopolitically sensitive contracts remain the principal sites of legal contestation.

This differentiated outcome also has implications for adoption beyond formal legality. A market centered on macro contracts is more likely to attract institutional attention, research use, and regulator tolerance because those products can be tied to recognized forecasting and risk-management functions. A market centered on sports, politics, or insider-sensitive government events is more likely to remain retail-driven, politically controversial, and vulnerable to future statutory or judicial narrowing. The legal debate therefore does not sit outside the market's economic development. It is one of the main mechanisms through which product mix, user composition, reputational legitimacy, and platform scale will be determined.

8. Social & Cultural Implications

8.1 Perception Shifts

Prediction markets are driving a shift in how society perceives gambling, risk, and financial legitimacy. One of the most noticeable changes caused by prediction markets is the shift in how betting is interpreted. Traditionally, wagering on the outcomes of certain events was associated with gambling, and this carried heavy social stigma. However, platforms like Kalshi and Polymarket are reframing these activities and giving them a sense of financial legitimacy. By introducing these wagers as event contracts or derivatives, platforms effectively blur the line between gambling and investing.⁶⁹ This reframing positions participation as informed speculation, grounded in probabilities rather than chance, thereby shifting the perception of prediction markets from entertainment-based gambling to data-driven financial activity.

⁶⁶ [Finance and Economics Discussion Series](#)

⁶⁷ [Holden et al. \(2026\)](#)

⁶⁸ [Georgetown Law Technology Review](#)

⁶⁹ [Reuters](#)

Institutional adoption has significantly accelerated the shift in how prediction markets are perceived. Established platforms like Robinhood and Nasdaq are integrating event-based trading into mainstream finance, further legitimizing prediction markets as financial instruments.⁷⁰ Due to these institutions being widely known as credible and regulated, their engagement adds a layer of trust and legitimacy that traditional gambling platforms lack. At the same time, Kalshi has explicitly positioned its model around turning “differences of opinion” into tradable financial assets.⁷¹ This further reinforces the idea that these markets function as investments rather than just bets. This shift is amplified by cultural visibility, specifically through its partnership with Giannis Antetokounmpo, which brought prediction markets into the mainstream and allowed them to be seen as acceptable business ventures rather than stigmatized gambling activities.⁷² However, this increased visibility also raises concerns about perception, as financial ties between public figures and prediction markets may lead people to interpret unrelated outcomes, such as athletic performances, through a financial lens. This creates potential risks to trust, even without direct influence or misconduct.

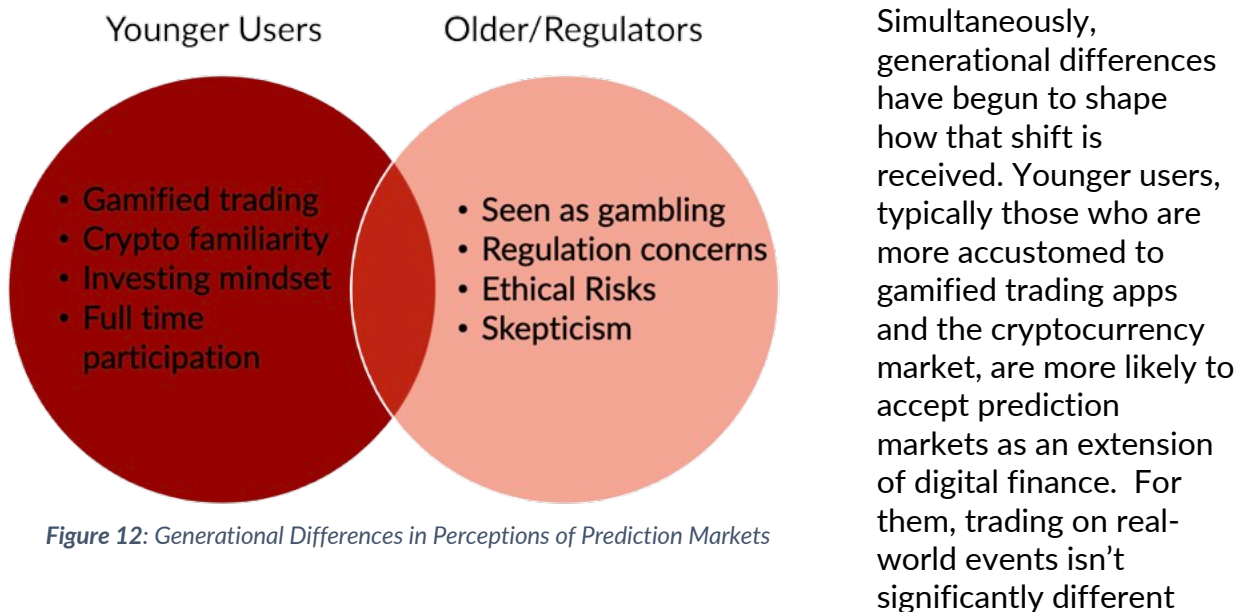


Figure 12: Generational Differences in Perceptions of Prediction Markets

from trading stocks. Some people have even left their stable careers to trade full-time, likely drawn in by the gamified nature of these platforms and the potential for high returns.⁷³ This highlights a broader shift in how younger users define financial opportunity, viewing prediction markets as viable income-generating platforms, but not as risky side activities.

⁷⁰ [Bloomberg](#)

⁷¹ [The Guardian](#)

⁷² [The Guardian](#)

⁷³ [NPR](#)

In contrast, regulators and older generations have remained skeptical, viewing these platforms as disguised gambling operations that lack compliance and user protections.⁷⁴ Figures such as Mick Mulvaney have argued that prediction markets are fundamentally equivalent to gambling, raising concerns about a lack of regulation, consumer protections, and overall safety.⁷⁵ Additionally, critics emphasize that rebranding wagering as financial trading does not eliminate underlying risks but might instead obscure them by placing these activities within more credible financial frameworks.

This tension is further highlighted by economist Robin Hanson, an expert in prediction markets, who argues that while prediction markets tend to produce more accurate forecasts, they are often resisted because objective information can undermine institutional authority and disrupt established organizational narratives. These polar opposite perspectives highlight a growing generational divide: young users normalize and actively participate in prediction markets, while older regulators continue to question their legitimacy.

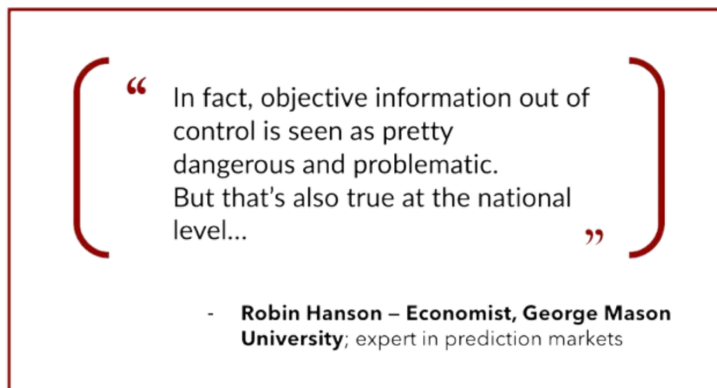


Figure 13: Dr. Mason's Perspective on Prediction Markets and Objective Information

8.2 Behavioral Effects

Prediction markets are reshaping user behavior by gamifying probability and risk. These prediction market platforms transform real-world uncertainty into an interactive experience that enables users to profit. By using features like instant trades, live price updates, and push notifications, they have made participation feel more like a game than a form of financial decision-making process. These design elements mirror those found in social media and games, making participation feel dynamic rather than deliberative. As a result, users engage with these markets constantly by checking them like social media and approaching trading with a competitive mindset as if it's something to "win."⁷⁶ Some people have even worked extensive hours or left their stable careers to participate full-time in prediction markets, demonstrating the depth of engagement these platforms can foster. In this sense, these users often prioritize short-term outcomes and performance, reinforcing a more fast-paced approach to financial decision-making. Additionally, simplifying complex real-world events into simple "yes/no" outcomes make them efficient and fast to trade on.⁷⁷ This simplification, combined with the speed of transactions, encourages quick decision-making rather than careful analysis, further

⁷⁴ [Wired](#)

⁷⁵ [Wired](#)

⁷⁶ [NPR](#)

⁷⁷ [New York Times](#)

exhibiting the game-like structure of prediction markets. While this increases accessibility, it also reduces the incentive for deeper analysis, as users can participate without fully engaging with the complexity of the events.

Beyond gamification, prediction markets have also contributed to the normalization of risk. By assigning probabilities and prices to uncertain events, the platforms make outcomes seem regular and expected. Over time, this constant exposure can lead users to view events through the lens of probability rather than considering the real-world consequences. Pricing events can also create a sense of inevitability, thereby normalizing uncertain and complex situations.⁷⁸ This framing encourages users to view uncertainty as routine, shifting attention away from broader societal implications. This is very evident in situations where users trade on major geopolitical developments. For instance, trading activity surrounding military strikes, such as those involving Iran, illustrates how serious global events are being reframed as financial opportunities.⁷⁹ The presence of significant trading can reinforce the perception that such events are simply another category of tradable assets. This shift not only normalizes financial risk but also extends to extreme and ethically sensitive scenarios.

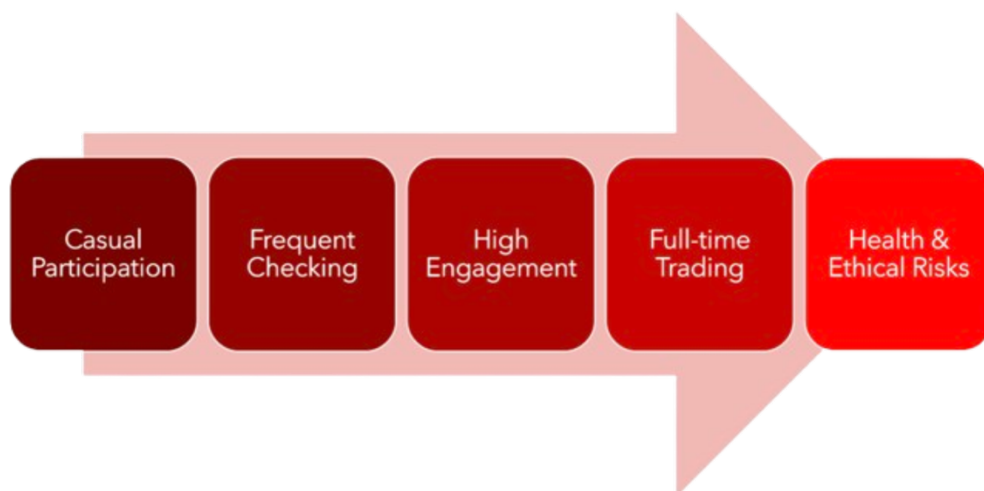


Figure 14: Behavioral Progression from Casual Participation to Ethical Risk

These dynamics have also raised significant concerns regarding addiction and ethics.

Reports of traders working excessive

hours, constantly monitoring markets, and chasing profits highlight the addictive nature of these platforms. The addition of features like instant deposits, real-time updates, and notifications encourages continuous participation. This has led experts to warn of a potential “public health crisis” driven by dopamine-based engagement systems.⁸⁰

Some analysts compare these engagement patterns to other forms of high-frequency digital interactions, emphasizing how design can reinforce this repetitive behavior. At the same time, the ability to profit from real-world crises raises serious ethical and moral concerns. Specifically, situations where traders make large profits from bets placed

⁷⁸ [New York Times](#)

⁷⁹ [Reuters](#)

⁸⁰ [NPR](#)

shortly before military actions have sparked concerns about insider trading and the misuse of confidential information.⁸¹ These cases have sparked increased scrutiny from policymakers about whether such markets create incentives to use non-public information. The morality of profiting from violence and conflict remains under heavy scrutiny, going beyond the question of the legality of prediction markets. While platforms argue they provide neutral forecasting tools, the structure of prediction markets continues to cause debate about the boundaries of acceptable financial activity. Furthermore, structural biases, such as the “favorite-longshot bias,” show that users tend to make irrational decisions, and platforms continue to profit from fees, thus encouraging harmful financial behavior.⁸² This suggests that, even in financially incentivized environments, user behavior does not necessarily align with rational decision-making. These factors illustrate how prediction markets not only impact how individuals engage with risk but also ethical boundaries.

8.3 Media & Narrative Influence

Prediction markets are beginning to shape media narratives, particularly through the use of implied market probabilities in news coverage. Prediction markets offer real-time, continuously updated probabilities derived from trading activity. This differs from traditional polling, which can only provide delayed data on public opinion. Unlike typical polling snapshots, prediction markets continuously merge dispersed information through trading activity, allowing them to respond immediately to new developments. These markets can act like leading indicators by analyzing price trends to anticipate shifts in polling data by up to two weeks. This predictive ability makes them highly attractive to media outlets, because they provide early signals about likely outcomes and trends.⁸³ This has also led researchers to view prediction markets as more dynamic tools for capturing shifts in sentiments, especially in uncertain environments. As a result, major news organizations increasingly incorporate prediction market data when discussing political, economic, and social developments, such as CNN, CNBC, and The Wall Street Journal.⁸⁴ This integration shifts headlines from uncertainty to probability-based narratives and, by presenting outcomes in probabilistic

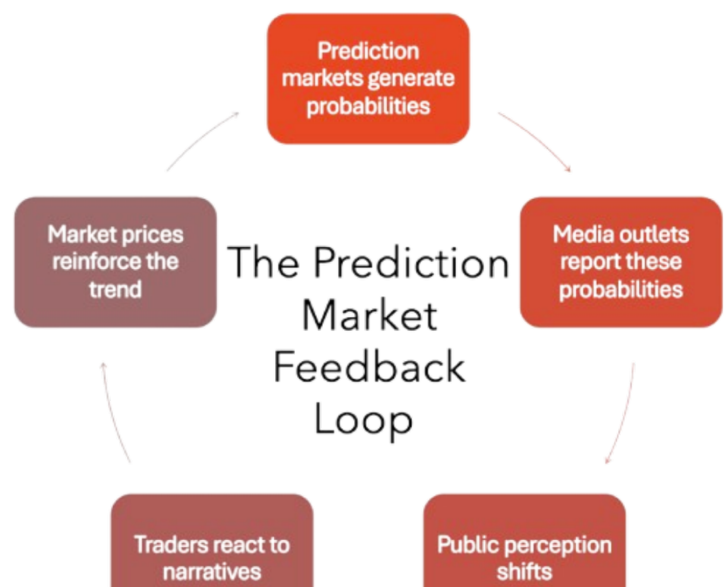


Figure 15: Feedback Loop Between Prices, Media, and Public Perception

⁸¹ [Reuters](#)

⁸² [New York Times](#)

⁸³ [Multidisciplinary Digital Publishing Institute](#)

⁸⁴ [NPR](#)

terms, can make complex events appear more measurable, reinforcing the credibility of market-based signals.

However, this increasing reliance on prediction markets also creates feedback loops between media and markets. When media outlets report market probabilities, they influence public perception, which then affects trading behavior and reinforces those same probabilities.⁸⁵ As individuals respond to these narratives by adjusting their positions, this increased trading activity can strengthen price trends, which are then reflected in media coverage. Over time, this cycle reinforces dominant narratives and can create a sense of inevitability around certain outcomes.

This cycle can amplify momentum around specific outcomes, even when uncertainty remains high. In this way, prediction markets go beyond informing the news and begin to influence how people understand events. Rather than merely reflecting expectations, these markets actively shape how uncertainty is interpreted and communicated in public forums.

9. Technology Integration and Future Outlook of Predictive Markets

The rise of artificial intelligence brings new challenges to the capabilities of traditional predictive markets, as both AI prediction models and event contracts present unique strengths in information aggregation.

9.1 AI vs Crowd Intelligence

Predictive markets function by aggregating binary user responses to a real-world question into a price, thereby reflecting the crowd opinion regarding the probability of an event. Artificial intelligence models, however, function by identifying patterns in historical data and texts to predict the likelihood of future events. Proponents of AI models cite fragmentation through overlapping questions and hidden equivalences across predictive markets as glaring weaknesses.⁸⁶

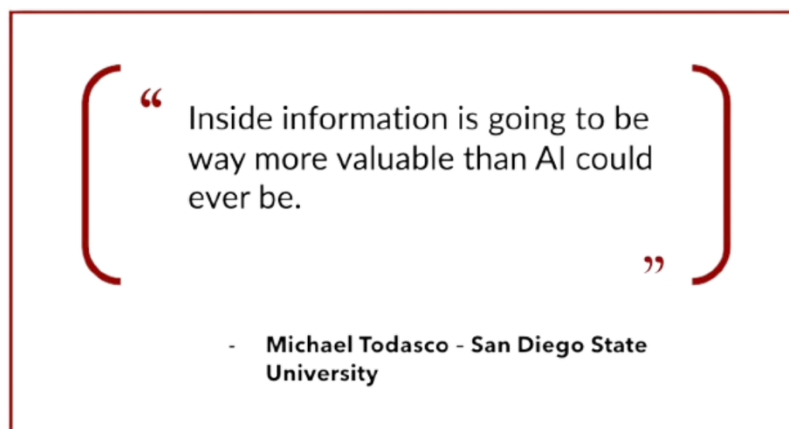


Figure 16: Todasco's Perspective on AI and Inside Information in Forecasting

It becomes important, however, to note that these differing methodologies do not necessarily have to compete with one another on the basis of accuracy, because they ultimately serve the same purpose. Research suggests that combining both approaches

⁸⁵ [New York Times](#)

⁸⁶ [ResearchGate](#)

could produce more reliable forecasts because AI provides data-driven signals, while crowd intelligence accounts for real-world nuance.⁸⁷ Crowd intelligence accounts for constantly developing signals that AI models cannot pick up on as comprehensively in short time periods. In controlled testing, AI models functioning under "incentive conditions" achieved an 81.5% accuracy rate compared to the 79.1% of traditional predictive models, proving that financial incentives sharpened AI calibration.⁸⁸

9.2 Hybrid Models

Artificial intelligence can be further utilized by traders to make more intelligent, well-informed trading decisions within predictive markets. Current AI systems that analyze this use natural language processing (NLP) techniques to "cluster related markets and find correlations," which identifies profitable overlaps in event contracts that humans often miss. This system identifies questions whose resolved outcomes display a strong dependence on one another, where one's resolution directly causes another, essentially trading on multiple events by only predicting one. Testing on historical Polymarket data demonstrated that these AI-driven overlap-based strategies could produce "around 20% average returns

over a week-long period" by identifying relationships with 60-70% accuracy.⁸⁹

Like how users exhibit greater accuracy when financial incentives

are at stake, researchers found that it was easier to assess confidence by attaching arbitrary stakes to questions fed to AI models. This method involved optimizing rewards based on logarithmic scoring rules, explicitly penalizing both over- and under-confidence, which encourages the model to align its confidence estimates with the actual predictive accuracy, thereby yielding more accurate results.⁹⁰ Combining AI models with predictive market concepts in hybrid intelligence models are key to developing effective trading strategies.

Figure 17: Hybrid Forecasting Model



9.3 Future Innovations

⁸⁷ [Tamver](#)

⁸⁸ [arXiv](#)

⁸⁹ [arXiv](#)

⁹⁰ [arXiv](#)



As it has been demonstrated, incorporating technology allows for greater coverage of the weaknesses of standard predictive markets.

Flash volatility is a legitimate risk associated with predictive markets, as small trading volume may lead to more volatile shifts in pricing that do not accurately reflect market sentiment. Algorithmic liquidity provision is a concept where automated models continually post bids to maintain market sentiment and allow users to trade any volume without significantly shifting probability and its respective price. This makes it easier for market participants to enter and exit positions. This principle, when implemented, will prove to be instrumental in addressing one of the main concerns associated with predictive market liquidity, and reduce the thin spread that comes with wider market flexibility.

Because the types of contracts users trade are deeply intertwined with their own interests and views, it becomes possible to build personalized prediction portfolios, where the feed of tradeable events is tailored to the user specifically, much like social media feeds.⁹¹ This goes hand-in-hand with “attention markets,” where binary outcomes are related to attention and reach rather than concrete events. Attention metrics such as likes, shares, and follows can be quantified and traded upon, which makes prediction markets even more accessible to the common user. Additionally, these traders may utilize attention markets to hedge against sentiment shifts toward specific brands or public figures based on their own viewpoints, fueled by their customized portfolios.

In 2026, prediction markets have evolved from small scale experiments into core products for finance, risk, and macro policy. (CGV, 2026). The growth of these markets depends on transforming diverse uncertainties into tradeable assets. Corporations are increasingly adopting internal prediction markets to aggregate intelligence. These internal markets allow senior management to collect honest unbiased expectations from employees that might otherwise be lost, ensuring critical information isn't filtered out as it moves up the chain of command (NBER)

10. Conclusion

By embedding market signals into risk analysis organizations can achieve a more dynamic approach to analysis. This allows firms to study how hypothetical shifts impact their overall portfolio helping them find emerging threats and judge if their current strategies work. However, this growth brings scrutiny regarding market integrity. Significant regulatory uncertainty exists surrounding prediction markets as they remain in a state of legal ambiguity. These prediction markets currently function somewhere in between being financial derivatives and being considered gambling and thus create significant uncertainty regarding the legality of this market in the near future. There are also concerns about issues such as insider trading, speculation, and thin market liquidity that raise doubts about whether or not prices reflect the current market and prediction

⁹¹ [Forbes](#)



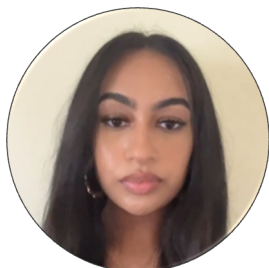
information accurately at all times or are just manipulated or affected by herd behavior before returning to the true value of the prediction. There have also been moral and social concerns regarding utilizing these markets to trade on sensitive geopolitical events or social events, i.e., the line of trading on information versus speculation on someone else's tragedy is starting to blur. Therefore, the discussions about prediction markets have morphed from discussions about whether they should exist generally to how they should be regulated, protected against abuse, and integrated into the current financial system.

Prediction markets have transitioned from niche forms of speculation into becoming part of our broader economic system. Economically, prediction markets have shown the ability to create highly accurate predictions by aggregating evidence throughout time/space and creating real-time probability outputs. In some cases, prediction markets have produced more accurate results than traditional polling methods or professionally produced estimates. For example, prediction markets and professionals may use the displayed probabilities from a prediction market to predict the effectiveness of their own strategies and competently assess their likelihood of success versus failure. In our financial system, we are seeing prediction markets become more accepted as tools to provide individuals with a creative outlet for speculating (investing) and to create a separate class of financial instruments/investments. By doing this, prediction markets will increasingly provide a means for individuals to hedge/offset potential losses, generate arbitrage opportunities, and price risk related to upcoming events. In society, the growing acceptance of prediction markets represents one of two opposing phenomena occurring within our society today, which are the democratization of forecasting through the ability for individuals to participate in gathering and disseminating information; and the potential danger in normalizing speculation and gambling-like activities, especially by more retail-oriented participants.

In terms of strategy, the future of prediction markets is going to depend on how these markets can become financially regulated/financially viable, which means they would have a strong integrity rating—or alternatively continue as fragmented/speculative marketplaces, subject to manipulation and volatility. Prediction markets most likely will not just be a current fintech trend, but represent a fundamental change in how financial markets process and value information. If prediction markets function appropriately as financial instruments, they create opportunities for targeted risk management and new forms of trading.]In addition, if prediction markets can be used correctly as tools for policy and economic forecasts, they can provide governments, organizations, and businesses with real-time probabilistic insights that are unavailable using traditional forecasting methods/models. Ultimately, the ongoing importance of prediction markets will be defined by a conjunction of innovation and oversight, which will determine whether prediction markets become a foundation for trusted global decision-making or continue to be an area of contention between finance, information, and speculation.



11. About the Authors



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